

FRVO

FRVO N/A

Buy	\$35.09 ▼ 3.84%	12M Price Target \$45.00	52-Week Range \$32.39 – \$42.65	Market Cap \$10.32B
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FRVO: Reiterate Buy; Geothermal Scale-Up Thesis Intact Post-Pullback

WHAT'S CHANGED

- FRVO -3.84% to \$35.09 on elevated 2.1M volume, reversing yesterday's +7.6% spike to \$36.49; stock sits at just 26% of 52-wk range despite Tech +3.04%/Utilities +0.67%, signaling idiosyncratic profit-taking post-news cycle.
- Options skew bullish (P/C 0.58) but a 1,074-contract \$30 July put print (7.1x OI) suggests institutional downside hedging into earnings/project milestones.

IMPLICATIONS

The June 8 bullish sell-side initiations and the May WSJ/Barron's geothermal IPO coverage have re-rated the space, but FRVO's failure to participate in the broader Tech/Utilities tape (+3% / +1.6% 5D) suggests the initiation pop has been digested and shares are consolidating ahead of Cape Station delivery milestones. With only 18.3% institutional ownership and 22% insider hold, the float remains under-owned by long-only mandates—an upside setup if power-contract news flow resumes, but it also explains the sharp two-sided volatility. The hyperscaler baseload-power narrative remains the dominant driver; any incremental PPA announcement with a Google/Microsoft-tier counterparty should reignite momentum.

VALUATION

At \$10.3B market cap on ~\$285M FY26E revenue, FRVO trades at ~36x forward sales—rich vs. mature IPPs but consistent with pre-scale clean-energy infrastructure names with visible MW pipeline. Our \$45 PT applies ~20x FY27E EV/Sales discounted back, implying ~28% upside; multiple expansion hinges on Cape Station commissioning de-risking the LCOE curve. Bear case contraction to 12x FY27E sales yields ~\$26 downside if execution slips.

KEY RISKS

- Drilling cost overruns or subsurface performance below pro-forma at Cape Station compresses project IRRs and erodes multiple.
- Concentrated counterparty risk—any pullback in hyperscaler data-center capex (per recent AI capex commentary) would deflate the demand thesis.
- Thin institutional float (18.3%) plus high insider ownership creates two-way volatility on modest flow shifts; secondary offering risk to fund expansion.

RECENT NEWS

Lyft upgraded, Leidos downgraded: Wall Street's top analyst calls The Fly · 2026-06-17 13:47

Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up Investing.com · 2026-06-08 18:01

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-18 21:33 UTC

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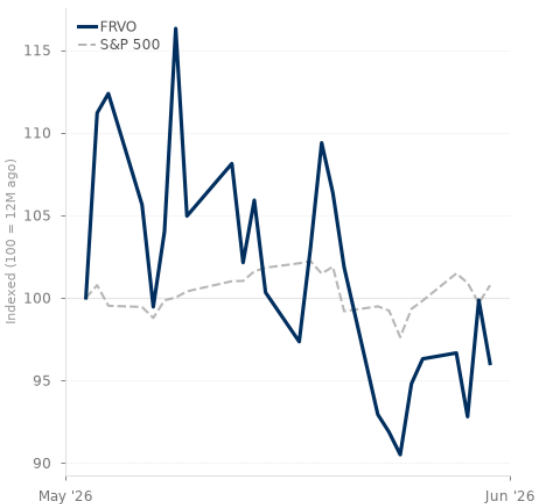
Key Data

Price (USD)	\$35.09
12M Price Target	\$45.00
Upside / (Downside)	+28.2%
Market Cap	\$10.32B
FY2026E Revenue	\$285M
FY2027E Revenue	\$510M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.40)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$40.00	\$36.50	\$32.00
6 Months	\$50.00	\$42.00	\$30.00
1 Year	\$60.00	\$45.00	\$26.00
2 Years	\$80.00	\$55.00	\$22.00
5 Years	\$140.00	\$85.00	\$18.00
10 Years	\$250.00	\$140.00	\$12.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.04% 1D), Industrials (+3.29% 5D)

COLD SECTORS: Real Estate (-2.36% 5D), Communication Services (-2.38% 5D)

ROTATION WATCH: Capital rotating into AI/Tech and Industrials capex beneficiaries; Utilities lagging on a 1D basis but +1.6% 5D as power-demand trade persists—FRVO sits at the crossroads as a "Tech-adjacent utility."

BYPRODUCT PLAY: Geothermal drilling services, downhole tooling suppliers (oilfield services crossover), and grid-interconnect equipment makers benefit from any FRVO project ramp; lithium-from-brine co-production is an emerging optionality lever.

OUTPERFORMERS & PEER CONTEXT

- VST (Vistra): Power-to-AI thesis leader, sustained premium multiple on data-center PPAs—proof-of-concept for FRVO's TAM.
- CEG (Constellation Energy): Baseload nuclear PPAs with Microsoft set the template for clean-firm power pricing power FRVO is targeting.

FRVO CONTEXT: At 26% of 52-wk range, FRVO is lagging the broader clean-firm power cohort, which has consolidated higher. Relative weakness reflects pre-commercial execution risk vs. operating-asset peers—a setup for catch-up beta if Cape Station milestones land.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$33-35 on pullbacks toward 52-wk low

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station delivery slip >6 months or hyperscaler PPA cancellation

Hedging: Pair vs. long Utilities ETF (XLU) or short higher-multiple clean-energy peer